

22STCV23458 22STCV23458

County: los-angeles

Division: Civil Law and Motion

Department: 406

Hearing date: 2026-07-10

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Case Number: 22STCV23458 Hearing Date: July 10, 2026 Dept: 406

COSTTREE HOLDINGS, LLC,

Plaintiff,

v.

ECIVIS, INC., et al.,

Defendants.

AND RELATED MATTERS.

Case No.: 22STCV23458

Hearing Date: July 10, 2026

[TENTATIVE]

order RE:

defendants' motion for summary judgment
or adjudication

I. BACKGROUND

a. The Underlying Complaint

On July 20, 2022, Plaintiff CostTree

Holding, LLC (CostTree) filed this action against Defendants eCivis, Inc.

(eCivis), GTY Technology Holdings, Inc. (GTY), and James Ha (Ha). On March 15, 2024, Plaintiffs CostTree and Capital Accounting Partners, LLC (CAP) filed the operative Second Amended Complaint (SAC), alleging (1) breach of the covenant of good faith and fair dealing, (2) fraud, (3) negligent misrepresentation, (4) civil conspiracy, (5) breach of contract, and (6) intentional interference with contractual relations.

The SAC alleges that CostTree agreed to sell its assets to eCivis through an Asset Purchase Agreement (APA) with eCivis. One of these assets was a certain program developed by CostTree, called Allocate. In exchange for the sale, the APA provided that CostTree would make earn-out payments from Allocate until a certain date and that eCivis would assume certain liabilities of CostTree, including a License Agreement with CAP. eCivis has allegedly failed to adequately promote sales or renewals of Allocate and has not assumed any of CostTree's liabilities.

eCivis allegedly acted to minimize CostTree's earn-out payments from Allocate until CostTree's right to earn-out payments expired under the APA. Meanwhile, Ha, the CEO of eCivis, sought to maximize his own earn-out payments from eCivis's programs under an agreement with GTY, which acquired eCivis and its programs. Despite increased resources from the GTY acquisition to market eCivis's programs, eCivis allegedly refused to market or sell Allocate until CostTree's right to earn-out payments expired. This allegedly allowed eCivis to effectively acquire CostTree's assets for little to no consideration. Defendants allegedly concocted this scheme to remove a competitor from the market and maximize their own profits.

Defendants also allegedly terminated the Licensing Agreement with CAP without following the procedures for termination outlined in the Licensing Agreement. Defendants allegedly cut off CAP's access to Allocate, preventing CAP from servicing its clientele for nearly a month. Defendants allegedly did this as retaliation for CostTree filing this action, as Nicolie Wickwire (Wickwire) is the CEO of both CostTree and CAP.

Ha has since been dismissed.

b. Wickwire's Related Action

On October 6, 2023, Wickwire filed the action Nicolie Wickwire v. eCivis, Inc., et al. (23CMCV01613),

alleging (1) breach of the covenant of good faith and fair dealing, (2) constructive discharge in violation of public policy, (3) defamation, and (4) declaratory relief. The Wickwire action was consolidated with this action, with this action as the lead case. However, Wickwire subsequently dismissed her complaint with prejudice.

c. The Cross-Complaint

On April 29, 2024, eCivis and GTY (dba Euna Solutions) cross-complained against CostTree, CAP, Wickwire, and Stephanie Ratajczak (Ratajczak). eCivis and GTY filed the operative Third Amended Cross-Complaint (TACC) on September 15, 2025, alleging (1) conversion, (2) intentional interference with prospective economic advantage, (3) breach of employment agreement, (4) breach of the APA, (5) breach of the CAP Licensing Agreement, (6) fraud, and (7) civil conspiracy.

The TACC alleges that Allocate underperformed as compared to Wickwire's promises, despite assistance from eCivis and GTY. Upon Wickwire's job title change, she allegedly refused to sign the new employment agreement and directed her subordinate, Ratajczak, to not sign her agreement either. Ratajczak was allegedly working for CAP at the same time as working for eCivis. Wickwire, Ratajczak, and CAP allegedly sold Allocate services to third party customers who should have contracted with eCivis and GTY. Wickwire, Ratajczak, and CAP allegedly allowed third parties to access and use Allocate without a proper license and without paying fees to eCivis and GTY. These actions allegedly violated the APA, Licensing Agreement, and employment agreements.

When Wickwire and Ratajczak simultaneously resigned, they allegedly left eCivis and GTY without any knowledgeable employees to manage Allocate. Wickwire allegedly failed to train any other employees on Allocate as was her duty prior to resigning, leaving Allocate with little value and thereby damaging eCivis and GTY. Since their resignations, Wickwire and Ratajczak have allegedly continued to impermissibly access or grant unpermitted access to Allocate beyond the limited access permitted for customers of CAP.

d. The Instant Motion

On March 13, 2026, eCivis and GTY

(collectively, Defendants) filed the instant motion for summary judgment or adjudication of the SAC. CostTree and CAP (collectively, Plaintiffs) filed an opposition on June 18, 2026. Defendants filed a reply on June 29, 2026.

II.

LEGAL STANDARD

The function of a motion for summary judgment or adjudication is to allow a determination as to whether an opposing party cannot show evidentiary support for a pleading or claim and to enable an order of summary dismissal without the need for trial. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) Code of Civil Procedure section 437c(c) “requires the trial judge to grant summary judgment if all the evidence submitted, and ‘all inferences reasonably deducible from the evidence’ and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law.” (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.)

“[T]he party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact; if he carries his burden of production, he causes a shift, and the opposing party is then subjected to a burden of production of his own to make a prima facie showing of the existence of a triable issue of material fact.” (Leyva v. Garcia (2018) 20 Cal.App.5th 1095, 1101.) To establish a triable issue of material fact, the party opposing the motion must produce “substantial responsive evidence.” (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.) Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389.)

III.

EVIDENTIARY OBJECTIONS

Plaintiffs’

Objections

The following objections are overruled: 1-3.

The remaining objections are not pertinent to the Court's disposition of the motion. (See Code Civ. Proc., § 437c(q).)

Defendants'
Objections

Declaration of Nicolie Wickwire

The following objections are overruled: 2, 10, 19-43, 65.

The remaining objections are not pertinent to the Court's disposition of the motion. (See Code Civ. Proc., § 437c(q).)

Objections to other evidence

Defendants' objections fail to "[q]uote or set forth the objectionable statement or material." (See Cal. Rules of Ct., Rule 3.1354(b).) Defendants object to Plaintiffs' separate statement rather than specific items of evidence. Therefore, the Court does not consider these objections.

IV.

DISCUSSION

a.

Abandoned Claims

As an initial matter, Plaintiffs have abandoned their claims for fraud, negligent misrepresentation, and civil conspiracy. Defendants' motion establishes that there are no triable issues as to those claims, and Plaintiffs do not contest that showing. Therefore, the Court proceeds on the remaining causes of action.

b.

Breach of the Implied Covenant of Good Faith and Fair Dealing

1.

Legal Standard

"The covenant of good faith and fair

dealing, implied by law in every contract, exists merely to prevent one contracting party from unfairly frustrating the other party's right to receive the benefits of the agreement actually made." (Guz v. Bechtel National, Inc. (2000) 24 Cal.4th 317, 349-350.) "The covenant of good faith and fair dealing imposes obligations on the contracting parties separate and apart from those consensually agreed to." (Bodenhamer v. Superior Court (1987) 192 Cal.App.3d 1472, 1477.) "The obligations imposed by the implied covenant of good faith and fair dealing are not those set out in the terms of the contract itself, but rather are obligations imposed by law." (Id. at p. 1478.) Therefore, "breach of a specific provision of the contract is not a necessary prerequisite to a claim for breach of the implied covenant of good faith and fair dealing." (Schwartz v. State Farm Fire & Casualty Co. (2001) 88 Cal.App.4th 1329, 1339.)

Nonetheless,

"the scope of conduct prohibited by the covenant of good faith is circumscribed by the purposes and express terms of the contract." (Avidity Partners, LLC v. State of California (2013) 221 Cal.App.4th 1180, 1204.) "The implied covenant of good faith and fair dealing does not impose substantive terms and conditions beyond those to which the parties actually agreed." (Ibid.) "It cannot impose substantive duties or limits on the contracting parties beyond those incorporated in the specific terms of their agreement." (Ibid.)

2.

Allegations

Here, the SAC

alleges that "Defendants intentionally interfered with Costtree Plaintiff's right to receive the benefit of the contract by refusing to market and promote the Program." (SAC ¶ 79.) The SAC alleges that "Defendants intentionally framed the APA in such a way that it would be impossible for Costtree Plaintiff to receive any benefits." (Id., ¶ 80.) Plaintiffs contend that Defendants failed to provide "critical software development" and "sales leadership."

3.

Express Terms

Defendants argue

that they did not breach the APA because "[t]he express terms of the APA do not require Defendants to engage in any specific conduct regarding Allocate,

including but not limited to 'critical software development' or 'sales leadership.'" (Def.'s Stmt. of Undisputed Facts (UF) 3.) Defendants contend that "critical software development" and "sales leadership" are undefined and not incorporated into the APA. (UF 2, 11.)

However, an implied covenant claim does not depend on breach of an express contract term. (Schwartz, *supra*, 88 Cal.App.4th at p. 1339.) The implied covenant is specifically distinguished from a breach of contract claim in that it relies on obligations imposed by law rather than contractual text. (Bodenhamer, *supra*, 192 Cal.App.3d at p. 1478.) Thus, Defendants cannot satisfy their initial burden on the motion by merely pointing out that the APA does not expressly require "critical software development" or "sales leadership." Defendants have not precluded the possibility that a failure to provide critical software development or sales leadership "unfairly frustrat[ed] the other party's right to receive the benefits of the agreement actually made." (See Guz, *supra*, 24 Cal.4th at pp. 349-50.)

The evidence also suggests that the parties contemplated Defendants would provide critical software development and sales leadership. Under the APA, Wickwire received no payment upfront for Allocate. (Wickwire Decl. ¶ 15.) Instead, Wickwire was entitled to earnout payments conditioned on the marketing and sale of Allocate. (*Ibid.*) "After the sale, control over the Allocate software's development, improvements, and upgrades belonged exclusively to eCivis." (*Id.*, ¶ 38.) Prior to signing the APA, Ha created a document stating that "eCivis would provide critical software development and sales leadership to establish product market fit and a realistic go-so-market strategy." (*Id.*, ¶ 7, Ex. 2.)

A reasonable trier of fact may infer from this evidence that Defendants' provision of software development and sales leadership were implied obligations consistent with "the purposes and express terms of the contract." (See Avidity Partners, LLC, *supra*, 221 Cal.App.4th at p. 1204.) Put differently, the failure to provide software development and sales leadership may have "unfairly frustrat[ed] the other party's right to receive the benefits of the agreement" by hindering sales of Allocate and depriving Plaintiffs of earnout payments. (See Guz, *supra*, 24 Cal.4th at pp. 349-50.) Defendants have not precluded this possibility for summary judgment purposes.

4. Defendants'

Performance

Defendants argue that they in fact provided software development and sales leadership to assist with Allocate. Specifically, Defendants point out that they funded Allocate's development and hired personnel including a Chief Technology Officer, a support lead, two software developers, and a senior project manager/graphic designer. (Mtn. 17:13-20.) Defendants also hired a senior vice president of sales, hired an employee to assist with selling Allocate, and contracted with third-party Hinderliter, de Llamas & Associates (HdL) to facilitate additional sales of Allocate. (Mtn. 18:10-23.) GTY also supported Ha when he asked for support of Allocate. (Ibid.) Defendants also contend that their hiring of Wickwire is itself proof of their dedication to the development and sale of Allocate. (Mtn. 18:23-27.)

On the other hand, Wickwire avers that she "repeatedly asked eCivis management, including Craig Ross and Art Elizarov, for additional sales and development resources for Allocate" but was "consistently ignored." (Wickwire Decl., ¶¶ 27-28.) Wickwire claims that "eCivis did not dedicate any new marketing or sales staff to the Allocate program, nor did it expand the small team of employees who had transitioned from CostTree." (Id., ¶ 29.) Wickwire claims that "[t]he existing eCivis sales team was never trained on how to sell Allocate, despite [her] repeated offers to train them." (Id., ¶ 30.) "eCivis removed the Allocate software from the sales team's commission schedule around the end of 2019 or the beginning of 2020, removing any financial incentive for staff to sell the product." (Id., ¶ 32.) According to Wickwire, the partnership with HdL "lacked coordination," and HdL "quoted improperly low prices for Allocate." (Id., ¶ 35.) Wickwire further avers that over five years, "Allocate received only three minor maintenance updates and zero feature enhancements." (Wickwire Decl. ¶ 39.)

These conflicting facts raise a triable issue over whether Defendants adequately provided support for the Allocate software. "The issue of whether the implied covenant of good faith and fair dealing has been breached is ordinarily 'a question of fact unless only one inference [can] be drawn from the evidence.'" (Moore v. Wells Fargo Bank, N.A. (2019) 39 Cal.App.5th 280, 292.) Here, the evidence is subject to more than one inference. A reasonable trier of fact may find that Defendants failed to provide sufficient software development and sales expertise, thus hindering sales of Allocate and depriving Plaintiffs of earnout payments under the APA. The trier of fact may conclude that this constituted a breach of the implied

covenant. Therefore, summary judgment is unwarranted.

c. Breach of Contract

The SAC alleges that “Defendants breached the CAP Licensing Agreement by terminating access without written notice and without following the requirements of Section 6.2 of the CAP Licensing Agreement.” (SAC ¶ 115.) Specifically, Section 6.2(ii) of the Licensing Agreement provides: “Either party may terminate this Agreement immediately by written notice if the other party materially breaches this Agreement and fails to cure its breach after receipt of written notice within (a) 15 days in the case of nonpayment of any fees, or (b) 30 days in the case of all other breaches.” (Wickwire Decl., Ex. 4.)

It is undisputed that CAP was denied access to Allocate from August 23, 2023 to September 14, 2023, a period of 22 days. (UF 17-18.) Plaintiffs contend that this was a termination of the Licensing Agreement even though Defendants failed to follow the termination procedure outlined in Section 6.2(ii).

However, Plaintiffs fail to explain how a 22-day interruption constitutes a termination of the agreement. Plaintiffs argue that because “access to the Allocate platform is the very subject matter and entire consideration of the Agreement,” cutting off such access constitutes termination. (Opp. 15:27-28.) Yet, it is undisputed that Plaintiffs ultimately retained access to Allocate. (UF 18.) This shows as a matter of law that the agreement was not terminated. If the agreement had been terminated, Defendants would have had no obligation to provide access to Allocate. (See *Merrill v. Continental Assur. Co.* (1962) 200 Cal.App.2d 663, 670 [a party who terminates a contract “is not liable after termination for further transactions thereunder”].) If an agreement to provide access to Allocate is terminated, then Plaintiffs would no longer have access to Allocate.

Plaintiffs identify no basis besides the Licensing Agreement for their continued access to Allocate. According to Plaintiffs themselves, the Licensing Agreement “allow[ed] CAP to continue using the Allocate software for its consulting clients after the sale.” (Opp. 7:13-14.) It follows that without the Licensing Agreement, CAP would have retained no such access. Thus, the agreement clearly survived the 22-day

interruption. Because the agreement was not terminated, Section 6.2 is not implicated. Plaintiffs identify no other provision of the Licensing Agreement that was breached as a result of the 22-day interruption. Their complaint and argument rely solely on Section 6.2. (See SAC ¶ 115; Opp. 15:22-31.)

Thus, the breach of contract claim fails as a matter of law.

d. Interference with Contractual Relations

The elements of intentional interference with contractual relations are: “(1) a valid contract between plaintiff and a third party; (2) defendant’s knowledge of this contract; (3) defendant’s intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage.” (Pacific Gas & Electric Co. v. Bear Stearns & Co. (1990) 50 Cal.3d 1118, 1126.)

Here, the SAC alleges that the 22-day interruption interfered with CAP’s contracts with its clients. (SAC ¶¶ 120-124.)

Defendants argue that the interference claim “fails along with [the fifth] cause of action for the reasons set forth above. There can be no intentional interference because Defendants, under the terms of the License Agreement Plaintiffs drafted provides no guarantee that access to Allocate will be uninterrupted.” (Mtn. 28:25-28.) However, just because Defendants did not breach their own agreement with CAP, does not mean Defendants did not interfere with CAP’s other contracts with its clients. This argument fails to preclude a triable issue.

Defendants also argue that they “had good reason to believe Ms. Wickwire and Ms. Ratajczak were absconding with confidential, proprietary customer information – i.e. shutting down access was not per se wrongful.” (Mtn. 29:1-2.) However, interference with contract does not require an independently wrongful act. (See Ixchel Pharma, LLC v. Biogen, Inc. (2020) 9 Cal.5th 1130, 1141 [“It is generally not necessary that the defendant’s conduct be wrongful apart from the interference with the contract itself”].) The independent wrong requirement only applies to interference with

business relations. (Ibid.) Thus, this argument fails to preclude a triable issue.

Lastly, Defendants argue that “Plaintiffs have failed to produce any contract between Plaintiffs and any third parties, nor have they produced any evidence that Defendants knew of the existence of such contract. (See Richardson Decl., ¶ 14.)” (Mtn. 29:3-5.) The Richardson declaration merely states that “[t]o date, Plaintiffs CostTree Holdings, LLC and Capital Accounting Partners, LLC have not produced any documents to Defendants.” (Richardson Decl. ¶ 14.) However, there is no indication that Plaintiffs were asked to produce CAP’s contracts with its clients or otherwise admitted that they possessed no such contracts. Richardson’s perfunctory statement, devoid of explanation or context, fails to preclude a triable issue. Similarly, Defendants present no evidence that they lacked knowledge of CAP’s contracts.

“[S]ummary judgment law in California requires the defendant to present evidence, and not simply point out through argument, that the plaintiff does not possess and cannot reasonably obtain the needed evidence.” (Lona v. Citibank, N.A. (2011) 202 Cal.App.4th 89, 110.) Here, Defendants have failed to meet their initial burden on the motion because they have not shown, with evidence, that Plaintiff cannot prove the elements of the claim. Therefore, summary judgment is unwarranted.

e. Punitive Damages

“In an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant.” (Civ. Code, § 3294(a).)

“An employer shall not be liable for damages pursuant to subdivision (a), based upon acts of an employee of the employer, unless the employer had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice. With respect to a corporate employer, the advance knowledge and conscious

disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation.” (Civ. Code, § 3294(b).)

Defendants argue that “[t]here is no evidence of any officer, director, or managing agent committed any act of oppression, fraud, or malice,” citing to the depositions of Wickwire and Ha. (Mtn. 29:18-27.) However, Defendants have cited no evidence to preclude a triable issue for purposes of their initial burden on the motion.

Wickwire was merely asked, “who, specifically, at eCivis and/or GTY, do you think, intended to harm you?” and “is there anybody specific that you believe should be punished?” (Richardson Decl., Ex. 1 at 196:17-22, 198:4-11.) That is not an inquiry pertinent to the punitive damages analysis. Wickwire was not asked anything that would reveal whether a director, officer, or managing agent engaged in or ratified malice, oppression, or fraud, nor did she say anything that would preclude this possibility. Similarly, Ha provided no testimony relating to the topic. (See Ex. 4 at pp. 57-60, 77.)

Therefore, Defendants have failed to satisfy their initial burden on the motion. Accordingly, summary adjudication of punitive damages is not warranted.

V. CONCLUSION

Defendants’ motion for summary judgment is DENIED. Defendants’ motion for summary adjudication is GRANTED as to the second, third, fourth, and fifth causes of action and DENIED in all other respects.